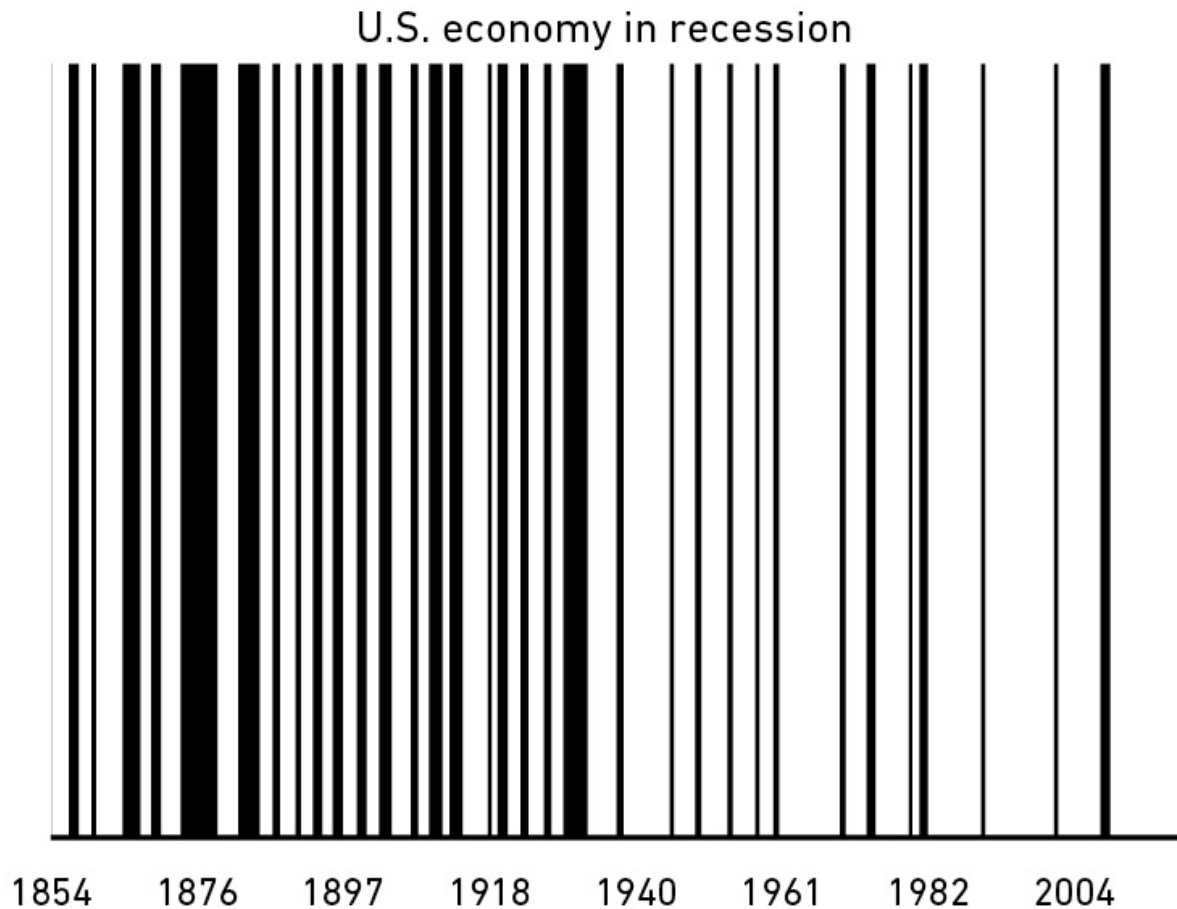




The average time between recessions has grown from about two years in the late 1800s to five years in the early 20th century to eight years over the last half-century.

As I write this it looks like we're going into recession—12 years since the last recession began in December 2007. That's the longest gap between recessions since before the Civil War.

There are plenty of theories on why recessions have become less frequent. One is that the Fed is better at managing the business cycle, or at least extending it. Another is that heavy industry is more prone to boom-and-bust overproduction than the service industries that dominated the last 50 years. The pessimistic view is that we now have fewer recessions, but when they occur they are more powerful than before. For our argument it